Though not comparable in scale and magnitude to the problems faced in 2016, the demonetization of 1948 caused considerable difficulties to people. It also did not produce impressive results.

The Times of India archives report that in West Bengal, a pundit had to postpone the marriage of his daughter. The ₹1,000 notes he had scraped together for her marriage were no longer legal tender. In Nainital, a big businessman fell over and died from heart failure when he went to hand in his ₹1,000 notes.

At the time of demonetization in 1946, currency notes of the value of ₹1,235.93 crore were in circulation, of which high-denomination notes (₹1,000, ₹5,000 and ₹10,000) totalled ₹143.97 crore. The Report of the Board of Directors of the Reserve Bank mentions that notes of the value of ₹134.9 crore were exchanged. Thus, notes worth only ₹9.07 crore, or 6.2 per cent, were 'flushed out of the system', not having been presented.

The Times of India archives reveal that in the first ten days, currency notes worth ₹47 crore were deposited across India. Bombay led with ₹27 crore, followed by Calcutta with ₹7 crore, Karachi with ₹3 crore, Lahore with ₹2.5 crore and Madras with ₹60 lakh. New Delhi, as a newly constructed government town, apparently did not register.

Summarizing the impact of the 1946 demonetization, the Direct Taxes Enquiry Committee in its interim report observed, 'Demonetization was not successful then, because only a very small proportion of total notes in circulation were demonetized in 1946.'

In his criticism, Sir Chintaman, delivering the memorial address at the Dadabhai Naoroji Memorial Prize Fund Lecture in February 1957, said:

> It was really not a revolutionary measure and even its purpose as a minatory and punitive gesture towards black-marketing was not effectively served. There was *no fool-proof administrative method by which a particular note brought by an individual could be proved as the life-savings of the hard-working man who presented it or established as the sordid gains of a black-marketer.* Another loophole of which